



INSURANCE AND PENSIONS COMMISSION

Life Assurance Sector Report

for the

Half Year Ended 30 June 2018



2018 Half Year Life Report

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1. Executive Summary

- 1.1 As at 30 June 2018, the life assurance industry was made up of 1550 agents, 11 direct life assurance companies and 5 composite reinsurance companies.
- 1.2 Gross premium written (GPW) for direct life assurance companies for the half year ended 30 June 2018 stood at \$200 million, representing a 16% increase from \$173.1 million reported in the comparative period in 2017.
- 1.3 On the other hand, life reinsurance companies GPW grew by 16% from \$3.5 million reported for the half year ended 30 June 2017 to \$4.1 million for the year to 30 June 2018.
- 1.4 Nine (9) out of Eleven (11) operating life assurance institutions and four (4) out of five (5) composite reinsurance institutions reported capital positions which were in compliance with the prescribed minimum capital requirements.
- 1.5 The life assurance sector registered an 11% growth in total assets from \$2.4 billion as at 31 March 2018 to \$2.6 billion as at 30 June 2018. This growth was mainly attributable to the strong performance by the equities market which resulted in values of shares going up.
- 1.6 As at 30 June 2018, the average prescribed ratio stood at 11.91% and 5.74% for life assurers and life reassures respectively.
- 1.7 A total of 8 out of the 11 direct life assurance companies and 3 out of 5 life reinsurance institutions were in compliance with the minimum prescribed asset threshold of 7.5%.
- 1.8 The life assurance sector reported a profit after tax of \$50 million for the half year ended 30 June 2018 from \$55 million reported in the comparative quarter of 2017. The decrease in profit after tax was due to decrease of investment returns (income).
- 1.9 On the other hand, the life reinsurance sector reported a profit after tax of \$371 thousand for the half year ended 30 June 2018 reflecting a decrease of 142% from \$887 thousand reported for the comparative period in 2017.
- 1.10 For a summarised key financial indicators and trends, see table 1 and 2 below:

Table 1: Key Performance Indicators

Financial Aspect	Life Assurers			Life Reassurers		
	Jun-17	Jun-18	Growth	Jun-17	Jun-18	Growth
Gross Premiums Written	173,174	200,017	16%	3,514	4,091	16%
Net Premiums Written	170,713	196,697	15%	2,955	3,533	20%
Retention Ratio	99%	98%	0%	84%	86%	2%
Total Net Claims	98,857	101,186	2%	1,260	1,975	57%
Management & Admin Expenses	41,556	45,113	9%	659	737	12%
Commissions	8,453	9,072	7%	970	1,171	21%
Total Costs	148,866	155,371	4%	2,889	3,883	34%
Technical Profit	32,910	58,699	78%	365	(349)	-196%
Expense Ratio	24%	23%	-1%	22%	21%	-1%
Claims Ratio	58%	51%	-6%	43%	56%	13%
Commission Ratio	5%	5%	0%	33%	33%	0%
Combined Ratio	87%	79%	-8%	98%	110%	12%

Table 2: Key Performance Indicators

Financial Aspect	Life Assurers			Composite Reinsurers			Total		
	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth
Total Assets	2,347,553	2,598,027	11%	39,072	40,178	3%	2,386,625	2,638,205	11%
Current Assets	299,673	286,291	-4.47%	22,151	23,623	7%	321,824	309,914	-4%
Current Liabilities	113,406	126,062	11%	10,838	13,317	23%	124,244	139,379	12%
Total Liabilities	1,927,738	2,117,854	10%	15,604	18,083	16%	1,943,342	2,135,937	10%
Shareholders' Equity	419,818	480,173	14%	23,468	22,095	-6%	443,286	502,268	13%
Liquidity/Current Ratio	264%	227%	-37%	204%	177%	-27%	469%	404%	-64%
Capital to liability Ratio	22%	23%	1%	150%	122%	-28%	172%	145%	-27%
Prescribed Assets	274,784	309,359	13%	3,904	3,329	-15%	278,688	312,688	12%
Prescribed Asset Ratio	11.7%	11.9%	0.2%	10.0%	8.3%	-1.7%	11.7%	11.9%	0.2%

2. Industry Architecture

- 2.1 As at 30 June 2018, there were 11 registered life insurers and 5 registered composite reinsurers' under the supervision of the Insurance and Pensions Commission (IPEC).
- 2.2 Life insurers had 1,550 agents comprising both corporate agents and individual agents as shown in table 3 below.

Table 3: Distribution of Agents across Life Insurers

Company Name	Corporate Agents		Individual Agents		Total
	Fully Registered	Provisionally Licensed	Fully Registered	Provisionally Licensed	
1. CBZ Life	4	-	27	31	62
2. Econet Life	-	-	-	-	-
3. Evolution Health & Life	-	-	-	-	-
4. Fidelity Life Assurance	-	-	17	37	54
5. First Mutual Life	-	-	118	98	216
6. Getsure Life Assurance	1	-	22	5	28
7. Heritage Life	-	-	19	2	21
8. Nyaradzo Life Assurance	10	-	269	34	313
9. Old Mutual Life Assurance	8	-	237	20	265
10. ZB Life Assurance	-	-	84	255	339
11. Zimnat Life Assurance	-	-	17	235	252
Total	23	-	810	717	1,550

PART A LIFE ASSURANCE BUSINESS

3. Performance in terms of Gross Premium Written

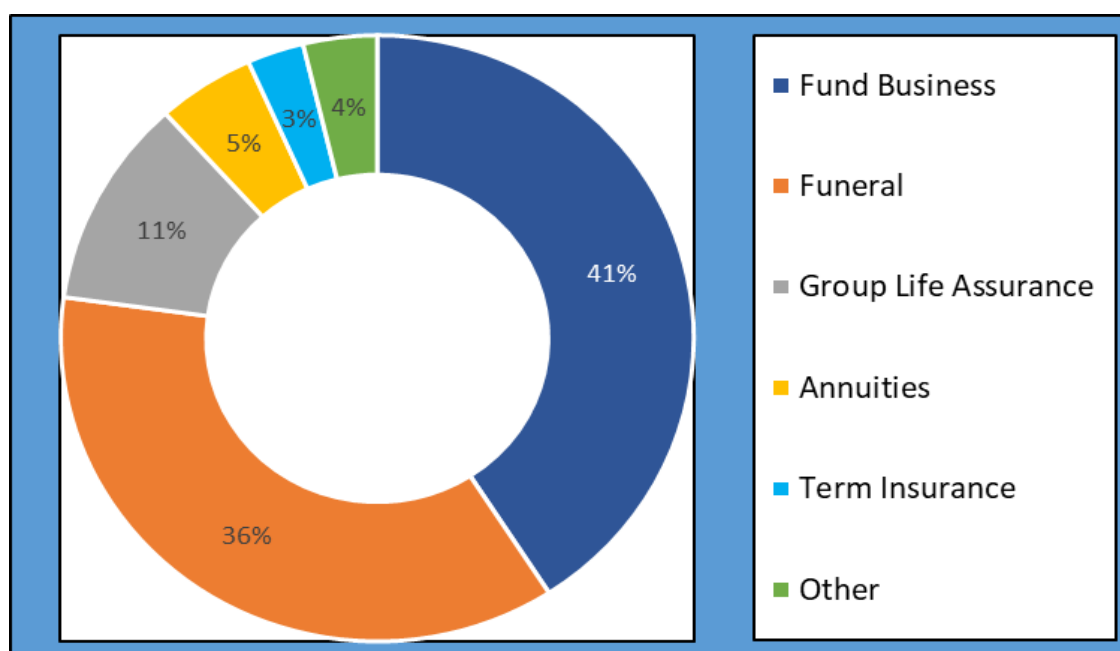
- 3.1 Gross premiums grew by 16% from \$173.1 million for the half year ended 30 June 2017 to \$200 million for the half year ended 30 June 2018 (See Annexure 1).
- 3.2 This growth was mainly attributable to an increase in business generated from fund business and funeral assurance business, which increase totalled \$21.54 million.
- 3.3 The table below shows the growth in business written by product line.

Table 4: Business composition by product line

Type of Product	Jun-17	Jun-18	Growth (%)
Annuities	7,326	10,000	37%
Term Insurance	4,366	5,808	33%
Endowment	909	1,672	84%
Pure Endowment	1,206	1,676	39%
Whole Life	5,277	4,208	-20%
Funeral	61,483	72,609	18%
Fund Business	71,334	81,750	15%
GLA	21,273	22,292	5%
Total	173,174	200,015	16%

- 3.4 Fund and funeral assurance business remained the major sources of business for life assurance companies and they accounted for a total of 77% of gross premium written.
- 3.5 Funeral assurance policies continue to dominate consumers' list of life insurance priorities because of their nature and purpose.
- 3.6 On the other hand, membership to pension funds is compulsory upon joining most employers.
- 3.7 Term assurances, endowment policies, pure endowment and whole of life business, accounting for an insignificant proportion of business generated during the quarter under review, signalling very little appetite for these products by the market (See annexure 4).

Figure 1: Distribution of Business



- 3.8 The life assurance industry's business written was mainly skewed towards recurring premiums which accounted for 81% of total business. The small percentage of business attributable to new business could be a reflection of the harsh macro-economic environment prevailing.
- 3.9 The industry reported 31,000 policies with a total gross premium of \$248,000 which were not taken up during the half year ended 30 June 2018 (See annexure 7). Considering the value of new business which was reported as \$38 million for the half year ended 30 June 2018, the amount in respect of the non taken up policies was considered insignificant.
- 3.10 A total of 1.71 million policies were lapsable during the beginning of the year and a total of 87,112 policies for both individual life and employee benefits policies lapsed during the half year ended 30 June 2018, translating into a lapse ratio of 5.1%.
- 3.11 Although the lapse ratio reported for the half ended 30 June 2018 compared unfavourably to the lapse ratio of 3.82% for the half year ended 30 June 2017, the difference was considered insignificant (See annexure 6).

4. Capitalisation

- 4.1 In terms of Statutory Instrument 95 of 2017, the current minimum regulatory capital requirement for primary life assurers is \$5 million and \$7.5 million for composite insurers.
- 4.2 As at the reporting date, 2 out of 11 primary life assurers were non-compliant with the minimum capital requirement of \$5 million as depicted in table 5 below and annexure 11.

Table 5: Trend in the Capital Position for life assurance companies

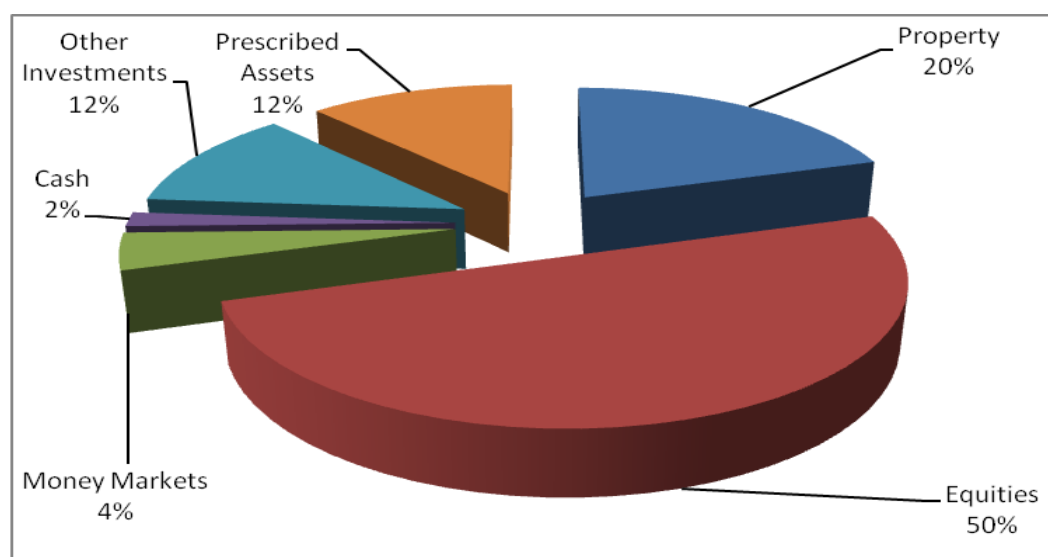
Company	Capital Position					
	Mar-17	Jun-17	Sep-17	Dec-17	Mar-18	Jun-18
1. CBZ Life	15,498	15,503	16,674	17,587	19,049	18,853
2. Econet Life	6,129	8,581	15,769	11,016	10,752	13,466
3. Evolution Health & Life	3,281	3,210	3,283	3,210	3,233	3,186
4. Fidelity Life Assurance	17,070	16,865	18,274	16,741	2,552	6,666
5. First Mutual Life	12,290	12,900	74,654	74,711	77,236	82,097
6. Getsure Life Assurance	3,799	3,943	4,023	4,254	3,363	7,075
7. Heritage Life	3,395	2,129	2,451	2,170	620	690
8. Nyaradzo Life Assurance	13,496	11,823	13,271	14,069	12,680	15,931
9. Old Mutual Life Assurance	162,278	204,885	332,485	271,532	248,578	288,326
10. ZB Life Assurance	15,530	15,758	16,102	15,995	16,109	16,621
11. Zimnat Life Assurance	20,759	22,421	23,290	25,491	25,646	27,262
Total	273,525	318,018	520,276	456,776	419,818	480,173

- 4.3 Although there has been a commendable general upward growth in declared free assets in the industry, some life insurance companies' capital positions were not compliant with the regulatory minimum after taking account of the provisions of Statutory Instrument 95 of 2017.
- 4.4 IPEC shall continue to carry out planned and ad-hoc capital verifications in addition to requiring players to continuously do self-capital assessments by the players themselves.
- 4.5 Such capital verification programmes will be succeeded by the implementation of corrective re-capitalisation plans which are approved and monitored by the Commission.

5. Asset quality

- 5.1 The total assets for the industry grew by 11% from \$2.4 billion as at 31 March 2018 to \$2.60 billion as at 30 June 2018.
- 5.2 This growth was mainly driven by an increase in the value of equities from \$1.1 billion as at 31 March 2018 to \$1.3 billion as at 30 June 2018 which was attributable to the bull-run on the Zimbabwe Stock Exchange (See annexure 5).
- 5.3 Fixed properties and equities constituted 70% of the total insurance industry assets which is a reflection of the general nature of the liabilities for the sector which are also long term in nature.
- 5.4 Figure 2 below shows the mix of investment assets as at 30 June 2018.

Figure 2: Insurance Industry Asset Mix as at 30 June 2018



* Other investments below include plant and equipment, receivables and unquoted shares

- 5.5 In terms of asset allocation, the industry was considered generally compliant with circular 1 of 2013 (See annexure 13).
- 5.6 Players are encouraged to continue to adhere to the requirements of the circular 1 of 2013 or their investment policy statements informed by their respective liabilities.
- 5.7 In terms of Statutory Instrument 24 of 2016, it is a requirement for life insurance companies to have a minimum of 7.5% of their assets invested in prescribed securities.

- 5.8 The average industry's investment into prescribed assets stood at 11.91% as at the reporting date which is quite commendable. However, three (3) institutions were below the minimum threshold (See annexure 14).
- 5.9 Such players shall be fined among other measures to ensure compliance with the minimum prescribed asset ratio on an ongoing basis.

6. Reinsurance

- 6.1 For the half year ended 30 June 2018, direct life assurers wrote \$200 million in gross premium and ceded about \$3.3 million which is 1% of the total gross premium written, thereby retaining 99% of the business written.
- 6.2 As part of their underwriting risk management, the Commission continues to encourage life assurers to consider reducing their retention levels considering the fact that some of the institutions are inadequately capitalised.

7. Earnings

- 7.1 Total profit after tax for life assurers decreased from \$217 million for the quarter ended 30 June 2017 to \$147.6 million for the quarter ended 30 June 2018 (See Annexure 12).
- 7.2 The decrease was mainly owing to a huge decline in investment income from \$196.7 million for the half year ended 30 June 2017 to \$96 million for the half year ended 30 June 2018,
- 7.3 The decrease in profit after tax was also on the back of a 4% surge in expenses from \$149 million for the half year ended 30 June 2017 to \$155 million for the half year ended 30 June 2018.
- 7.4 Buoyed by a favourable performance in the claims ratio, there was a sharp drop in the combined ratio from 87% as at 30 June 2017 to 79% as at 30 June 2018(See annexure 15).
- 7.5 Accordingly, the underwriting profit for the industry improved by 78% from \$33 million as at 30 June 2017 to \$59 million as at 30 June 2018.

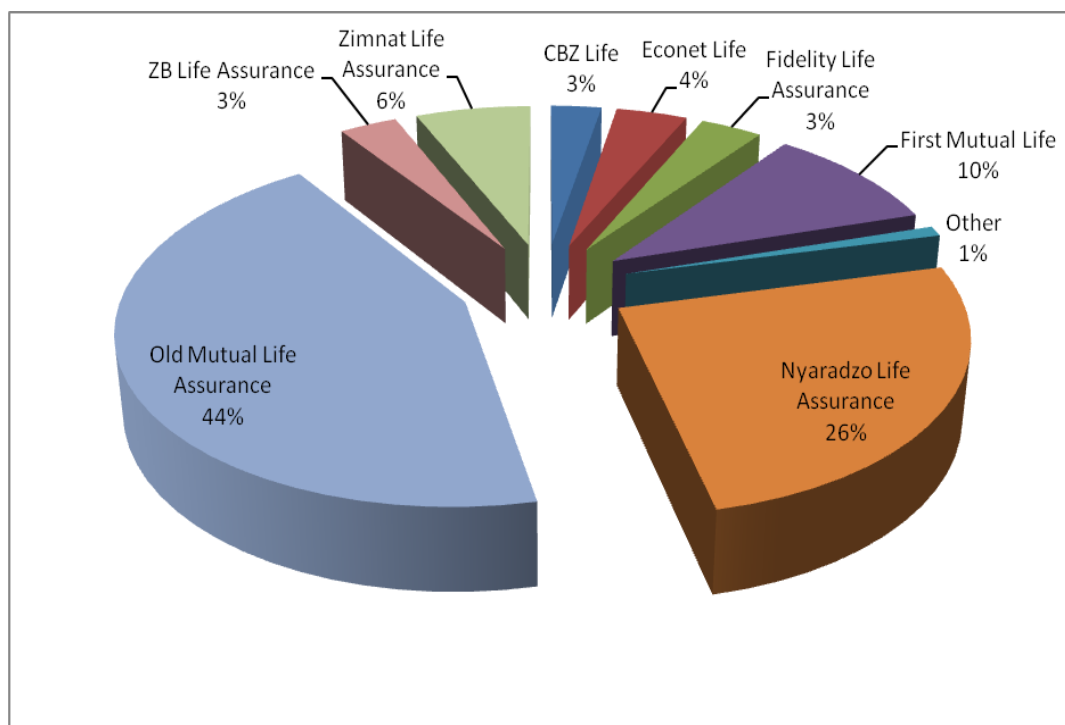
8. Liquidity

- 8.1 As at 31 March 2018 and 30 June 2018, current assets amounted to \$299.7 million and \$286.3 million whilst current liabilities amounted to \$113.4 million and \$126.1 million respectively.
- 8.2 The life assurance industry's liquidity ratio (current ratio) was 227% as at 30 June 2018. This shows that the industry has sufficient near-cash assets to liquidate their short-term contractual obligations among other short-term costs.

9. Market Share

- 9.1 In terms of GPW, Old Mutual Life constituted 44% of the business followed by Nyaradzo Life with 26% as indicated in figure 3 below.

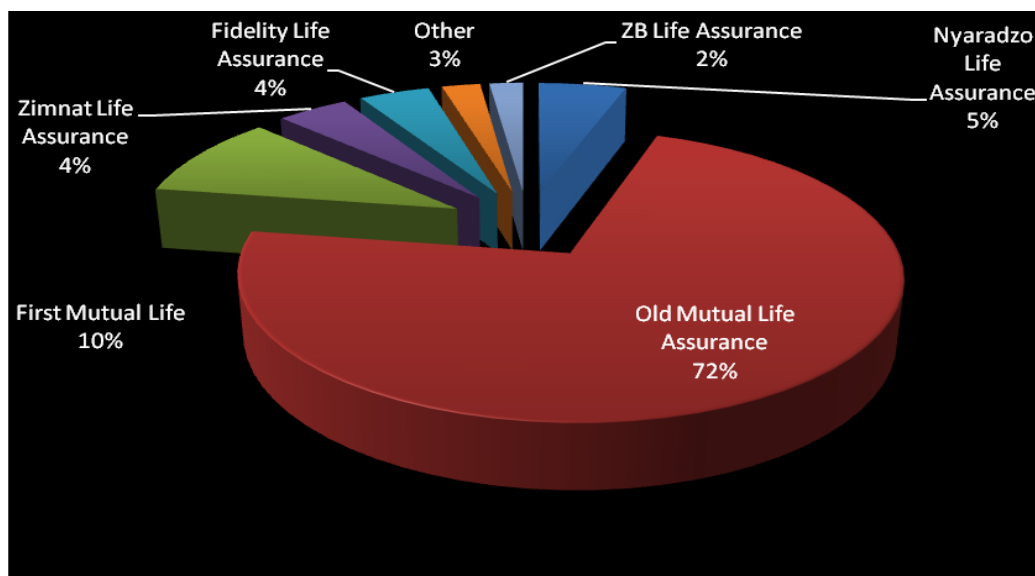
Figure 3: Market Share in terms of Business Written



**Other comprises Evolution Life, Heritage Life and Getsure Life*

9.2 However, in terms of total assets, Old Mutual Life constituted 72% of the market share followed by First Mutual Life and Nyaradzo Life at 10% and 5% respectively.

Figure 4: Market Share distribution in terms of total assets as at 30 June 2018



**Other comprises Evolution Life, Heritage Life, CBZ Life, Econet Life and Getsure Life*

PART B LIFE REASSURANCE BUSINESS

The statistics presented in this section of the report pertain to the composite insurers' life assurance business only except for the capital positions which comprises of both life and non-life business. Please note that the figures for Zep-Re contained in this report are only for the institution's Regional Hub Office located in Zimbabwe and not for the company as a regional institution. The Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa, among others. ZEP Reinsurance Company was formed under the auspices of COMESA and writes business in all COMESA member States. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole.

10. Performance in terms of Business Written

- 10.1 The volume of life assurance business written by the composite reinsurers, in terms of Gross Premium Written (GPW), increased by 16% from \$3.5 million for the half year ended 30 June 2017 to \$4.1 million for the quarter ended 30 June 2018 (See annexure 8).
- 10.2 This growth was attributable to an increase in group life assurance business by the life reassures.

11. Capitalization

- 11.1 As at 30 June 2018, 4 out of 5 registered composite reassurers reported capital positions which were compliant with the minimum capital requirement of \$7.5 million (See Table 6, below).
- 11.2 However, these reported capital positions were not adjusted in line with the provisions of Statutory Instrument (SI) 95 of 2017 which, among other things, discount non-permissible assets.
- 11.3 As at the reporting date, the unadjusted capital positions for life reinsurance players ranged from \$5.9 million to \$45.9 million.

Table 6: Trend in the Capital Position for Composite Reassurers

Company	Capital Position			
	Sep-17	Dec-17	Mar-18	Jun-18
1. Baobab Re	44,735	44,566	44,861	45,940
2. FBC Re	27,849	26,708	28,060	28,580
3. FM Re	10,869	9,560	9,318	9,429
4. Grand Re	7,555	9,244	9,735	9,821
5. Zep Re	5,927	6,082	5,607	5,965
Total	96,935	96,160	97,581	99,735

**Please note, the capital positions above comprises for both life and non-life reinsurance business (Composite Reassurance Business).*

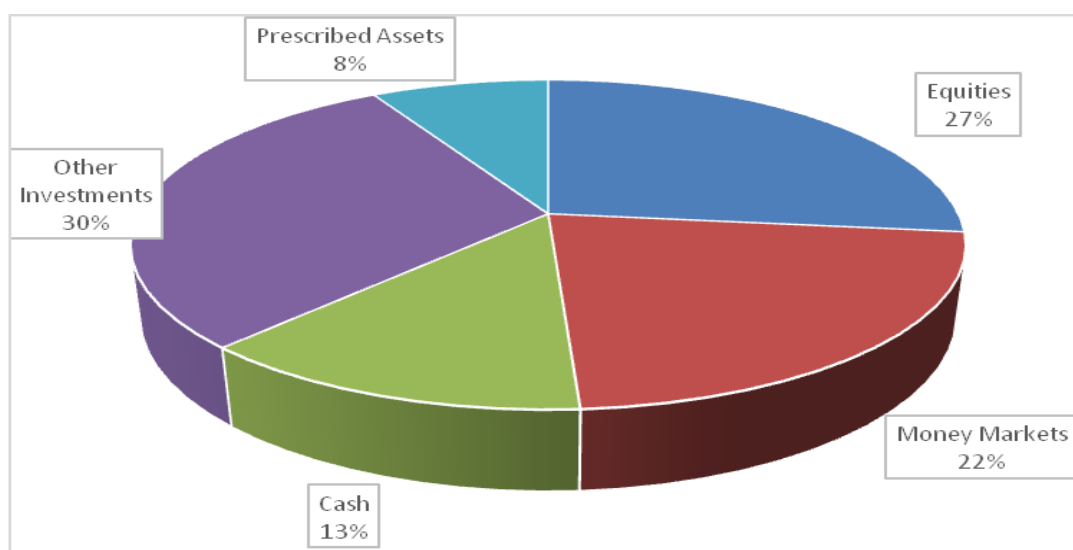
12. Asset Quality

12.1 Total assets for life reinsurers amounted to \$40.2 million as at 30 June 2018, reflecting a 3% increase from \$39.1 million as at 31 March 2018 (See annexure 3).

12.2 The growth in total assets was mainly due to increased investment in the money market investments.

12.3 Equities constituted about 27% of the total investment portfolio whereas liquid assets such as money markets and cash constituted 35% of the total investment portfolio.

Figure 5: Life Reassurers Total Assets as at 30 June 2018



** Other investments below include plant and equipment, receivables and unquoted shares.*

12.4 The industry asset mix is mainly concentrated in short term assets which is in line with the industry reinsurance contracts which have got a maximum term of one year.

12.5 Liquid assets constitute 43% of total industry assets positioning the industry well to meet claims as they fall due (See annexure 9).

12.6 As at 30 June 2018, only three composite reassures were in compliant with the prescribed asset ratio of 7.5%. Zep Re and Grand Re reported zero prescribed ratios.

Table 7: Variance in compliance in prescribed assets

Reinsurer	Prescribed Asset Investments	Total Assets	Prescribed Asset Ratio	Amount Required To Be Compliant	Variance In Compliance%
Baobab Re	987.00	12,939.00	7.63%	970.43	0.1%
FBC Re	1,940.00	23,855.00	8.13%	1,789.13	0.6%
FM Re	402.00	3,307.00	12.16%	248.03	4.7%
Grand Re	0.00	0.00	0.00%	0.00	-7.5%
Zep Re	0.00	76.00	0.00%	5.70	-7.5%
Total	3,329.50	58,033.00	5.74%	4,352.48	-1.8%

- 12.7 Table 7 above indicates that Baobab Re, FBC Re and FM Re were the only firms that are compliant with prescribed asset requirements.

13. Earnings

- 13.1 Life reinsurance industry reported a loss of \$371,000 for the quarter ended 30 June 2018 down from a profit of \$887,000 reported for the comparative period in 2017.
- 13.2 The loss was mainly attributable to poor performance of investments as well as high net claims reported for the quarter ended 30 June 2018.
- 13.3 Total costs for reinsurers' stood at \$3.88 million and the reinsurance industry recorded an underwriting loss of \$349,000. The underwriting loss was mainly driven by high claims and commission costs.
- 13.4 The life reinsurance business had a combined ratio of 110%, which was mainly attributed to an adverse growth in claims ratio. (See Annexure 16).
- 13.5 To boost sustainability of this sector, the Commission encourages all the players to employ prudent cost cutting measures in addition to widening premium income streams across several insurance markets in regionally and worldwide.

14. Liquidity

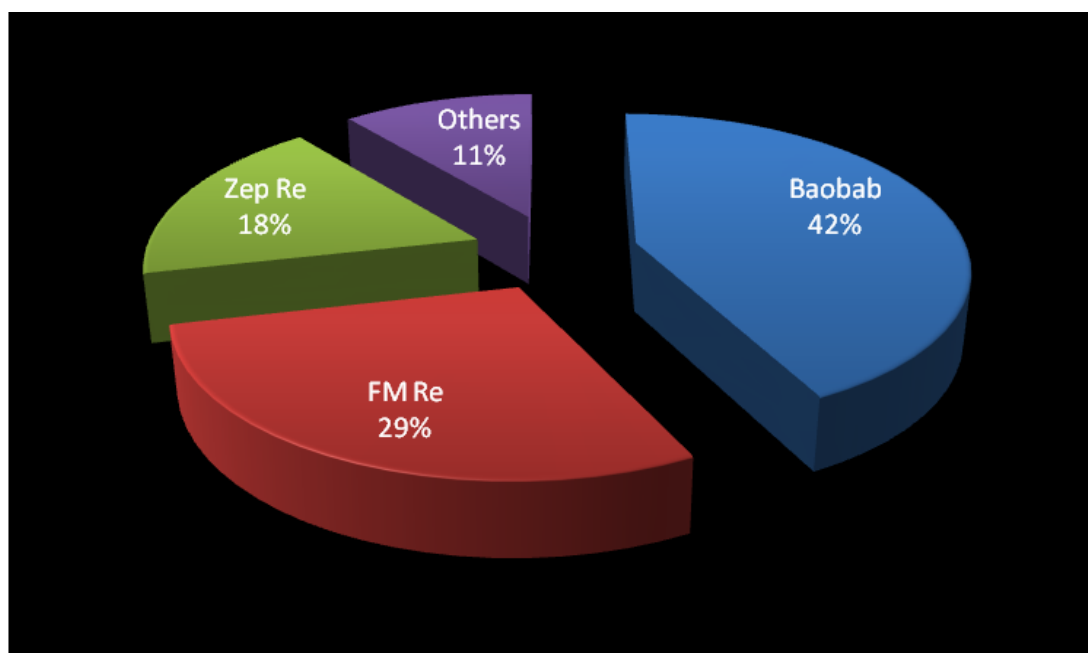
14.1 Current assets amounted to \$22.2 million and \$23.6 million as at 31 March 2018 and 30 June 2018 respectively. Current liabilities for the respective periods amounted to \$10.8 million and \$13.3 million.

14.2 Life Reassurance Industry liquidity ratio (current ratio) decreased by 13%, from 204% as at 31 March 2018 to 127% as at 30 June 2018 implying that the industry had favourable current assets to cover its current liabilities.

15. Market Share

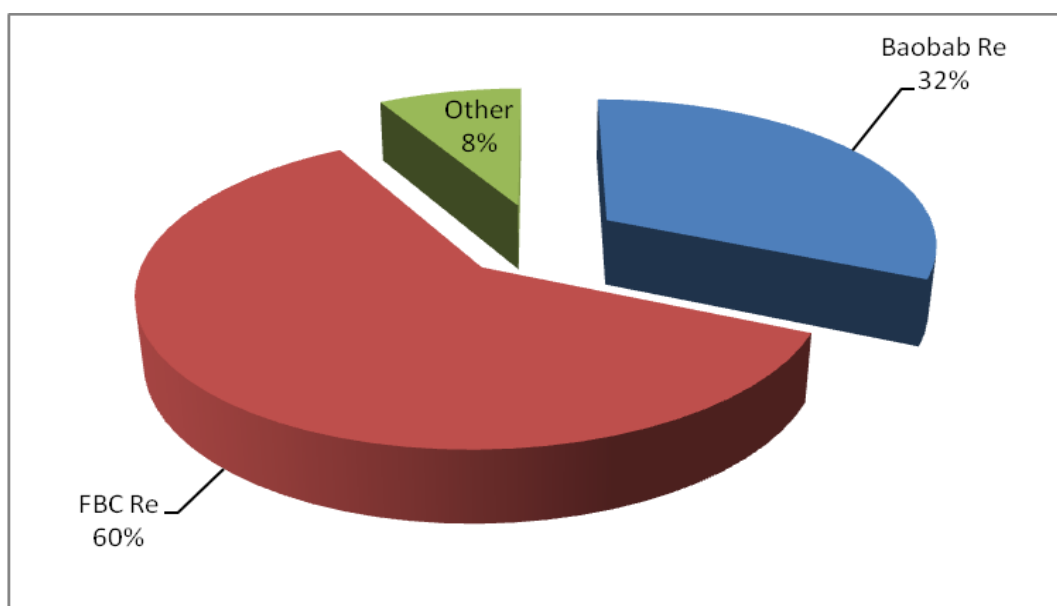
15.1 About 58% of the Gross Premium Income (GPI) is credited to Zep Re, FBC Re and FM Re, whilst Baobab Re contributed about 42% of the total premiums written.

Figure 6: Market Share by Gross Premium Written



15.2 In terms of total assets, FBC Re and Baobab Re had 60% and 32% market share respectively (See figure 7 below). However, the combined market share for Grand Re, FM Re and Zep Re in terms of total assets stood at 8%.

Figure 7: Market Share distribution in terms of total assets as at 30 June 2018



**other comprises of Grand Re, FM Re and Zep Re*

16. CONCLUSION

- 16.1 The Commission continues to encourage the industry to take note of **ALL Regulatory** developments to ensure compliance with all applicable laws, statutes, directives, guidelines and circulars on an ongoing basis.
- 16.2 The industry showed signs of growth in premium income and asset base despite the challenging economic environment.
- 16.3 Industry players are also encouraged to be highly innovative in terms of both product developments as well as business models as there is a signal of a very little appetite for some of the products offered by the market.

17. ANNEXURES

ANNEXURE 1: Business Composition Computation Life Insurers as at 30 June 2018

Company Name	Individual Life						Employee Benefits						Total		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Jun-17	Jun-18	Growth (%)	Jun-17	Jun-18	Growth (%)	Jun-17	Jun-18	Growth (%)	Jun-17	Jun-18	Growth (%)	Jun-17	Jun-18	Growth (%)
CBZ Life	129	143	11%	3,429	3,876	13%	741	866	17%	510	727	43%	4,809	5,612	17%
Econet Life	131	201	53%	3,942	7,443	89%	-	-	0%	234	269	15%	4,307	7,913	84%
Evolution Health & Life	148	5	-97%	168	294	75%	-	-	0%	-	-	0%	316	299	-5%
Fidelity Life	102	75	-26%	2,133	2,331	0%	-	14	0%	2,474	4,457	80%	4,709	6,877	46%
First Mutual Life	854	1,118	31%	8,761	9,492	8%	-	33	0%	7,098	9,395	32%	16,713	20,038	20%
Getsure Life	49	80	63%	458	753	64%	188	266	41%	100	56	-44%	795	1,155	45%
Heritage Life	-	5	0%	782	423	-46%	-	-	0%	-	-	0%	782	428	-45%
Nyaradzo Life	506	722	43%	37,186	35,421	-5%	28	57	104%	6,681	14,706	120%	44,401	50,906	15%
Old Mutual Life	1,104	2,452	122%	8,682	7,808	-10%	27,800	29,396	6%	43,128	47,952	11%	80,714	87,608	9%
ZB Life	140	118	-16%	2,261	2,849	26%	-	135	0%	3,057	3,314	8%	5,458	6,416	18%
Zimnat Life	793	1,324	67%	3,119	3,745	20%	648	1,035	60%	5,610	6,661	19%	10,170	12,765	26%
Total	3,956	6,243	58%	70,921	74,435	5%	29,405	31,802	8%	68,892	87,537	27%	173,174	200,017	16%

ANNEXURE 2: Net Premium Income Distribution -6 months ended 30 June 2018

NPW			
Name of Company	Net Premium Written (NPW)		Growth
	Jun-17	Jun-18	(%)
CBZ Life	4,537	5,404	19%
Econet Life	4,053	7,548	86%
Evolution Health & Life	313	296	-5%
Fidelity Life	4,528	6,719	48%
First Mutual Life	16,512	19,816	20%
Getsure Life	778	1,143	47%
Heritage Life	778	422	-46%
Nyaradzo Life	44,401	50,906	15%
Old Mutual Life	79,753	86,299	8%
ZB Life	5,193	6,155	19%
Zimnat Life	9,867	11,989	22%
Total	170,713	196,697	15%

ANNEXURE 3: Capitalisation, Solvency and Liquidity Indicators for the Life Reassurers as at 30 June 2018

Item	Baobab Re			FBC Re			FM Re			Grand Re			Zep Re			Total		
	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth
Current Assets	3,227	4,500	39%	16,772	16,910	1%	2,059	2,137	4%	17	-	0%	76	76	0%	22,151	23,623	7%
Total Assets	12,662	12,939	2%	22,983	23,856	4%	3,327	3,307	-1%	24	-	0%	76	76	0%	39,072	40,178	3%
Current Liabilities	614	623	1%	8,913	10,357	16%	1,370	1,969	44%	73	-	0%	(132)	368	-379%	10,838	13,317	23%
Total Liabilities	5,246	5,255	0%	8,913	10,357	16%	1,504	2,103	40%	73	-	0%	(132)	368	-379%	15,604	18,083	16%
Capital	7,416	7,684	4%	14,070	13,499	-4%	1,823	1,204	-34%	(49)	-	0%	208	(292)	-240%	23,468	22,095	-6%
Prescribed Assets	1,002	987	-1%	2,481	1,940	0%	421	402	-5%	0	0	0%	0	0	0%	3,904	3,329	-15%
Prescribed Assets Ratio	8%	8%	-4%	11%	8%	0%	13%	12%	-4%	0%	0%	0%	0%	0%	0%	10%	8%	-17%
Current Ratio	526%	722%	37%	188%	163%	-13%	150%	109%	-28%	23%	0%	0%	-58%	21%	-136%	204%	177%	-13%
Capital to Liability Ratio	141%	146%	3%	158%	130%	-17%	121%	57%	-53%	67%	0%	0%	158%	-79%	-50%	150%	122%	-19%

ANNEXURE 4: Business Composition by product line for the quarter ended 30 June 2018

	Annuities			Term Insurance			Endowment			Pure Endowment			Whole Life			Funeral			Fund Business			Other/GLA		
Company	Jun-17	Jun-18	Growth (%)	Jun-17	Jun-18	Growth (%)	Jun-17	Jun-18	Growth (%)	Jun-17	Jun-18	Growth (%)	Jun-17	Jun-18	Growth (%)	Jun-17	Jun-18	Growth (%)	Jun-17	Jun-18	Growth (%)	Jun-17	Jun-18	Growth (%)
CBZ Life	0	1	0%	1,819	2,098	15%	15	14	0%	0	0	0%	73	76	4%	2,842	3,222	13%	0	0	0%	60	202	237%
Econet Life	0	0	0%	0	0	100%	0	0	0%	0	0	0%	234	0	0%	4,072	7,645	88%	0	269	0%	0	0	0%
Evolution Health & Life	0	0	0%	0	0	0%	0	0	0%	0	0	0%	3	1	0%	312	297	-5%	0	0	0%	0	0	0%
Fidelity Life Assurance	62	84	35%	80	44	-45%	303	697	130%	266	346	30%	261	109	-58%	923	782	-15%	5	4,470	89300%	2,810	345	-88%
First Mutual Life	2,692	4,122	53%	2,137	3,195	50%	192	212	10%	0	0	0%	387	349	-10%	3,905	3,898	0%	6,167	5,286	-14%	1,232	2,975	141%
Getsure Life Assurance	0	0	0%	0	266	0%	0	0	0%	0	0	0%	157	0	0%	104	301	189%	0	0	0%	534	588	10%
Heritage Life	2	185	9150%	0	0	0%	0	24	0%	0	2	0%	0	104	0%	4	113	2725%	0	0	0%	776	0	-100%
Nyaradzo Life Assurance	0	0	0%	0	0	0%	0	0	0%	0	0	0%	0	0	0%	44,401	50,906	15%	0	0	0%	0	0	0%
Old Mutual Life Assurance	4,377	5,151	18%	0	0	0%	0	189	0%	0	0	0%	3,470	2,889	-17%	2,100	2,225	6%	60,160	64,988	8%	10,606	12,167	15%
ZB Life Assurance	62	86	39%	330	205	-38%	399	536	34%	940	1,328	41%	42	26	-38%	628	784	25%	745	744	0%	2,311	2,704	17%
Zimnat Life Assurance	131	371	0%	-	-	0%	-	-	0%	-	-	0%	650	654	1%	2,192	2,436	11%	4,257	5,993	41%	2,944	3,311	12%
Total	7,326	10,000	37%	4,366	5,808	33%	909	1,672	84%	1,206	1,676	39%	5,277	4,208	-20%	61,483	72,609	18%	71,334	81,750	15%	21,273	22,292	5%

ANNEXURE 5: Life Assurers Industry Asset Bases as at 30 June 2018

	Fixed Property			Equities			Money Markets			Cash			Other Investments			Prescribed Assets			Total Assets		
Co. Name	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth	Dec-17	Jun-18	Growth
CBZ Life	4,390	5,699	30%	835	769	0%	11,933	10,099	-15%	2,394	1,002	0%	1,608	1,496	-7%	3,192	5,198	63%	24,352	24,263	0%
Econet Life	2,084	-	0%	8,541	12,203	0%	402	780	0%	1,243	1,917	54%	2,485	4,430	78%	1,661	1,672	1%	16,416	21,002	28%
Evolution Health & Life	1,573	47	0%	1,175	1,175	0%	-	-	0%	7	7	0%	793	2,328	194%	95	100	100%	3,643	3,657	0%
Fidelity Life Assurance	21,539	21,806	1%	31,925	32,636	2%	1,614	1,584	-2%	4,536	3,047	-33%	12,392	15,107	22%	30,474	34,893	15%	102,480	109,073	6%
First Mutual Life	-	-	0%	40,658	45,504	12%	10,445	16,010	53%	7,045	7,938	13%	148,531	158,234	7%	30,214	24,673	-18%	236,893	252,359	7%
Getsure Life Assurance	380	380	0%	3,338	1,815	0%	251	202	0%	200	483	142%	1,507	6,371	323%	680	524	-23%	6,356	9,775	54%
Heritage Life	47	51	9%	-	558	0%	-	-	0%	124	117	-6%	816	280	-66%	21	21	100%	1,008	1,027	2%
Nyaradzo Life Assurance	55,303	68,861	25%	3,359	4,059	21%	4,453	6,041	36%	11,636	9,424	-19%	36,031	35,521	-1%	12,189	12,108	-1%	122,971	136,014	11%
Old Mutual Life Assurance	409,728	404,658	-1%	955,363	1,153,887	21%	67,639	51,954	-23%	13,789	16,631	21%	50,508	40,312	-20%	185,088	210,453	14%	1,682,115	1,877,895	12%
ZB Life Assurance	2,785	2,785	0%	11,887	12,837	8%	1,433	917	-36%	135	443	228%	30,352	30,540	1%	4,180	4,863	16%	50,772	52,385	3%
Zimnat Life Assurance	21,050	21,699	3%	36,006	34,404	-4%	25,312	24,467	-3%	3,068	2,387	-22%	8,121	12,766	57%	6,990	14,854	113%	100,547	110,577	10%
Total	518,879	525,986	1%	1,093,087	1,299,847	19%	123,482	112,054	-9%	44,177	43,396	-2%	293,144	307,385	12%	274,784	309,359	13%	2,347,553	2,598,027	11%

**other investments comprise of property, plant and equipment, receivables and unquoted shares.*

ANNEXURE 6: Life assurers lapse Ratios as at 30 June 2018

Company	Number of Lapsable Policies at the Beginning of the Year (1 Jan 2018)	Lapsed Policies (Individual Life)	Lapsed Policies (EB / Corporates)	Lapsed Policies (Others)	Lapse Ratio
CBZ Life	60,304	1,247			2.07%
Econet Life	1,006,504	25,116	-	-	2.50%
Evolution Health & Life	43,374	-	-	-	0%
Fidelity Life	-	170	-	-	0.00%
First Mutual Life	111,754	16,103	-	-	14.41%
Getsure Life	39,216	1,342	-	-	3.42%
Heritage Life	-	-	-	-	0%
Nyaradzo Life	348,946	39,514	38	-	11.33%
Old Mutual Life	53,760	1,010	-	-	1.88%
ZB Life Assurance	8,588	887	-	-	10.33%
Zimnat Life	35,148	1,685	-	-	4.79%
Totals	1,707,594	87,074	38	-	5.10%

ANNEXURE 7: Not taken up policies for Life Assurers as at 30 June 2018

Company	Number of Policies (NTU)	Gross Premium (NTU)
CBZ Life	106	1
Econet Life	25,116	67
Evolution Health & Life	-	-
Fidelity Life Assurance	792	20
First Mutual Life	847	41
Getsure Life Assurance	536	10
Heritage Life	374	6
Nyaradzo Life Assurance	-	-
Old Mutual Life Assurance	32	1
ZB Life Assurance	409	15
Zimnat Life Assurance	2,836	87
Totals	31,048	248

ANNEXURE 8: Gross Premium Written of Life Reassure's as at 30 June 2018

	Jun-17	Jun-18	Growth
Baobab Re	1,593	1,741	9.3%
FBC Re	273	447	63.7%
FM Re	994	1,182	18.9%
Grand Re	109	-	-100.0%
Zep Re	545	721	32.3%
Total	3,514	4,091	16%

ANNEXURE 9: Life Reassure's total assets as at 30 June 2018

Item	Baobab Re			FBC Re			FM Re			Grand Re			Zep Re			Total		
	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth
Fixed Property	0	0	0%	0	0	0%	5	0	0%	8	0	-100%	0	0	0%	13	0	-100%
Equities	7,957	7,957	0%	1,647	1,728	5%	916	1,158	26%	0	0	0%	0	0	0%	10,520	10,843	3%
Money Markets	645	93	-86%	7,356	8,904	21%	0	0	0%	0	0	0%	0	0	0%	8,001	8,997	12%
Cash	213	196	-8%	3,292	3,378	3%	1,785	1,706	-4%	16	0	-100%	0	0	0%	5,306	5,280	0%
Other Investments	2,667	3,706	39%	7,455	7,906	6%	896	443	-51%	23	0	0%	0	0	0%	11,041	12,055	9%
Prescribed Assets	989	987	0%	1,835	1,940	100%	392	402	3%	0	0	0%	0	0	0%	3,216	3,329	4%
Total Assets	12,471	12,939	4%	20,635	23,856	16%	3,602	3,307	-8%	47	0	-100%	0	76	0%	36,755	40,178	9%

ANNEXURE 10: Life Insurers Claims Age Analysis as at 30 June 2018

Age	CBZ		Econet		Evolution		Fidelity Life		First Mutual		Getsure		Heritage		Nyaradzo		Old Mutual		ZB Life		Zimnat		Total	
	Jun-17	Jun-18	Jun-17	Jun-18	Jun-17	Jun-18	Jun-17	Jun-18	Jun-17	Jun-18	Jun-17	Jun-18	Jun-17	Jun-18	Jun-17	Jun-18	Jun-17	Jun-18	Jun-17	Jun-18	Jun-17	Jun-18	Jun-17	Jun-18
>30days	2,393	402	8	2,820	0	5	0	125	271	81	0	240	21	1,000	0	0	603	681	69	190	0	58	3,365	5,602
31-60days	0	18	6	0	0	4	0	52	7	74	4	120	0	0	0	0	0	0	43	8	0	254	60	530
61-90days	0	36	4	0	0	2	0	34	3	48	1	480	0	0	0	0	0	0	23	25	0	49	31	674
91-120days	0	15	2	0	0	1	0	21	10	60	0	0	0	0	0	0	0	0	59	15	0	5	71	117
<121 days	0	141	0	0	0	0	0	47	1,052	609	0	0	0	0	0	0	0	0	211	304	0	408	1,263	1,509
Total	2,393	612	20	2,820	0	12	0	279	1,343	872	5	840	21	1,000	0	0	603	681	405	542	0	774	4,790	8,432

ANNEXURE 11: Life Assurers Capitalisation, Solvency & Liquidity Trends as at 30 June 2018

	Current Assets			Current Liabilities			Total Assets			Total Liabilities			Capital (Net Assets)			Capital to Liability (%)			Liquidity (Current) (%)		
Co. Name	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth	Mar-18	Jun-18	Growth
CBZ Life	18,614	16,982	-9%	3,388	3,358	-1%	24,352	24,259	0%	5,303	5,406	2%	19,049	18,853	-1%	359%	349%	-10%	549%	506%	-44%
Econet Life	11,260	15,788	40%	5,665	7,536	33%	16,417	21,002	28%	5,665	7,536	33%	10,752	13,466	25%	190%	179%	-11%	199%	210%	11%
Evolution Health & Life	614	638	4%	391	471	20%	3,643	3,657	0%	410	471	15%	3,233	3,186	-1%	789%	676%	-112%	157%	135%	-22%
Fidelity Life Assurance	37,131	37,667	1%	16,948	13,938	-18%	102,480	109,073	6%	99,928	102,407	2%	2,552	6,666	161%	3%	7%	4%	219%	270%	51%
First Mutual Life	23,696	30,121	27%	18,634	20,538	10%	236,894	252,359	7%	159,658	170,262	7%	77,236	82,097	6%	48%	48%	0%	127%	147%	19%
Getsure Life Assurance	874	1,707	95%	2,993	2,700	-10%	6,356	9,775	54%	2,993	2,700	-10%	3,363	7,075	110%	112%	262%	150%	29%	63%	34%
Heritage Life	440	414	-6%	344	322	-6%	1,008	1,028	2%	388	338	-13%	620	690	11%	160%	204%	44%	128%	129%	1%
Nyaradzo Life Assurance	57,926	58,879	2%	2,080	9,299	347%	122,971	136,014	11%	110,291	120,083	9%	12,680	15,931	26%	11%	13%	2%	2785%	633%	-2152%
Old Mutual Life Assurance	123,116	99,780	-19%	53,766	53,301	-1%	1,682,116	1,877,896	12%	1,433,538	1,589,570	11%	248,578	288,326	16%	17%	18%	1%	229%	187%	-42%
ZB Life Assurance	2,153	2,039	-5%	3,392	3,404	0%	50,771	52,386	3%	34,662	35,765	3%	16,109	16,621	3%	46%	46%	0%	63%	60%	-4%
Zimnat Life Assurance	23,849	22,276	-7%	5,805	11,195	93%	100,548	110,578	10%	74,902	83,316	11%	25,646	27,262	6%	34%	33%	-2%	411%	199%	-212%
Total	299,673	286,291	-4%	113,406	126,062	11%	2,347,556	2,598,027	11%	1,927,738	2,117,854	10%	419,818	480,173	14%	22%	23%	1%	264%	227%	-37%

ANNEXURE 12: Statement of Comprehensive Income for the Year to 30 June 2018

	CBZ Life		Econet Life		Evolution Health & Life		Fidelity Life		First Mutual Life		Getsure Life		Heritage Life		Nyaradzo Life		Old Mutual Life		ZB Life		Zimnat Life		Total June 2018	
	2017, Q2	2018 Q2	2017, Q2	2018 Q2	2017, Q2	2018 Q2	2017, Q2	2018 Q2	2017, Q2	2018 Q2	2017, Q2	2018 Q2	2017, Q2	2018 Q2	2017, Q2	2018 Q2	2017, Q2	2018 Q2	2017, Q2	2018 Q2	2017, Q2	2018 Q2	2017, Q2	2018 Q2
Gross Premium Written	4,809	5,612	4,306	7,913	315	298	4,710	6,877	16,713	20,036	795	1,155	782	427	44,401	50,906	80,714	87,608	5,457	6,414	10,171	12,765	173,173	200,011
Outward Reassurance Premium	272	208	253	365	2	2	182	158	201	221	17	12	5	6	0	0	961	1,310	264	259	304	776	2,461	3,317
Net Premium Written	4,537	5,404	4,053	7,548	313	296	4,528	6,719	16,512	19,815	778	1,143	777	421	44,401	50,906	79,753	86,298	5,193	6,155	9,867	11,989	170,712	196,694
Unearned Premiums/Insurance Reserves	(227)	156		(47)	-12								-										(239)	109
Net Earned Premium	4,764	5,248	4,053	7,595	325	296	4,528	6,719	16,512	19,815	778	1,143	777	421	44,401	50,906	79,753	86,298	5,193	6,155	9,867	11,989	170,951	196,585
Claims Paid	1,280	976	1,928	2,820	42	(45)	1,949	1,642	6,808	6,583	47	91	145	53	16,614	14,544	57,773	53,346	2,124	2,862	2,334	3,266	91,044	86,138
Claims Outstanding	356	612	0	0	0	0	0	0	291	262	0	0	0	0	0	0	0	0	47	54	535	837	1,229	1,765
Claims Incurred But Not Reported	19	(6)	465	821	2	12	0	0	0	0	28	37	0	0	0	0	0	0	0	0	171	85	685	949
Unexpired Provision	0	0	0	0	0	0	0	0	0	0	0	94	0	0	5,949	12,172	0	0	0	0	0	0	5,949	12,266
Net Claims	1,655	1,582	2,393	3,641	44	(33)	1,949	1,642	7,099	6,845	75	222	145	53	22,563	26,716	57,773	53,346	2,171	2,916	3,040	4,188	98,907	101,118
Administrative Expenses	1,473	1,453	1,295	2,385	243	233	2,418	2,503	5,157	6,718	0	0	386	402	6,660	-	8,559	8,552	1,792	2,186	2,728	3,199	30,711	27,631
Net Fees and Commission Paid	552	512	0	0	62	53	267	327	817	847	116	139	88	25	3,676	4,158	907	968	809	999	1,166	1,109	8,460	9,137
Underwriting Profit/(Loss)	1,084	1,701	365	1,569	(24)	43	(106)	2,247	3,439	5,405	587	782	158	(59)	11,502	20,032	12,514	23,432	421	54	2,933	3,493	32,873	58,699
Investment Income	429	319	1,783	1,244	2	-	2,191	(1,181)	10,653	9,461	74	59	41	32	615	701	169,861	78,958	598	883	6,371	5,621	192,618	96,097
Other Income	(4)	52	14	54	0	0	2,183	9,487	2,820	6,938	465	4,050	42	98	1,878	2,972	0	0	771	73	0	15	8,169	23,739
Other/Management expenses	0	0	102	187	0	0	0	0	1,214	1,856	829	493	244	0	11,637	18,875	0	0	0	187	334	593	14,360	22,191
Depreciation and amortisation	0	0	121	169	8	33	0	0	0	0	0	690	0	0	0	0	0	0	0	0	0	0	129	892
																							-	-
Earnings Before Interest and Taxation	1,509	2,072	1,939	2,511	(30)	10	4,268	10,553	15,698	19,948	297	3,708	(3)	71	2,358	4,830	182,375	102,390	1,790	823	8,970	8,536	219,171	155,452
Interest	0	0	16	111	0	0	696	760	0	36	0	0	5	0	(145)	(129)	0	0	0	0	0	-11	572	767
Earnings Before Tax	1,509	2,072	1,923	2,400	(30)	10	3,572	9,793	15,698	19,912	297	3,708	(8)	71	2,503	4,959	182,375	102,390	1,790	823	8,970	8,547	218,599	154,685
Taxation	15	5	(4)	(51)	0	0	26	210	37	3,662	0	0	5	0.6	452	521	1,199	2,673	88	88	9	-	1,827	7,109
Earnings After Tax	1,494	2,067	1,927	2,451	(30)	10	3,546	9,583	15,661	16,250	297	3,708	(13)	70	2,051	4,438	181,176	99,717	1,702	735	8,961	8,547	216,772	147,576
Other Comprehensive Income(Specify)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Total Comprehensive Profit/(Loss) for the Period	1,494	2,067	1,927	2,451	(30)	10	3,546	9,583	15,661	16,250	297	3,708	(13)	70	2,051	4,438	181,176	99,717	1,702	735	8,961	8,547	216,772	147,576
Transfer to Policyholder Funds	0	0	0	0	1	0	2,126	4786	13,747	8208	0	0	0	0	0	0	137,568	77,746	1,302	550	7,271	5,906	162,015	97,196
Transfer from Policyholder Funds	0	0	0	0	0	0	-	-	-	-	0	0	0	0	0	0	0	0	0	0	0	0	0	-
Total Comprehensive Profit/(Loss) Attributable to Shareholders	1,494	2,067	1,927	2,451	(31)	10	1,420	4,797	1,914	8,042	297	3,708	(13)	70	2,051	4,438	43,608	21,971	400	185	1,690	2,641	54,757	50,380

ANNEXURE 13: Industry Asset Mix as at 30 June 2018

Assets	Mar-18	% Share on Total Assets	Investment guideline limit (%)	Jun-18	% Share on Total Assets	Investment guideline limit (%)	Growth Rate
Property	518,879	20%	50%	525,986	20%	50%	1%
Equities	1,093,087	50%	60%	1,299,847	50%	60%	19%
Money Markets	123,482	4%	45%	112,054	4%	45%	-9%
Cash	44,177	2%	10%	43,396	2%	10%	-2%
Other Investments	293,144	12%	10%	307,385	12%	10%	5%
Prescribed Assets	274,784	12%	40%	309,359	12%	40%	13%
Total Assets	2,347,553	100%		2,598,027	100%		11%

ANNEXURE 14: Life assurers Prescribed Asset Ratio Status as at 30 June 2018

Insurer	Prescribed asset	Total assets	Prescribed	Amount required	Variance in
	Investments		asset ratio	to be compliant	compliance%
CBZ Life	5,198.00	24,259.00	21.43%	1,819.43	13.9%
Econet Life	1,672.00	21,002.00	7.96%	1,575.15	0.5%
Evolution Health & Life	100.00	3,657.00	2.73%	274.28	-4.8%
Fidelity Life Assurance	34,893.00	109,073.00	31.99%	8,180.48	24.5%
First Mutual Life	24,673.00	252,359.00	9.78%	18,926.93	2.3%
Getsure Life Assurance	524.00	9,775.00	5.36%	733.13	-2.1%
Heritage Life	21.00	1,028.00	2.04%	77.10	-5.5%
Nyaradzo Life Assurance	12,108.00	136,014.00	8.90%	10,201.05	1.4%
Old Mutual Life Assurance	210,453.00	1,877,896.00	11.21%	140,842.20	3.7%
ZB Life Assurance	4,863.00	52,386.00	9.28%	3,928.95	1.8%
Zimnat Life Assurance	14,854.00	110,578.00	13.43%	8,293.35	5.9%
Total	309,359.00	2,598,027.00	11.91%	194,852.03	4.4%

ANNEXURE 15: Combined ratios for Life Assurers for the period ended 30 June 2018

Company	Total Net Claims	Management and Admin Expenses	Commissions	Total Costs	Underwriting Profit and Loss	Expense Ratio	Commission Ratio	claims ratio	Combined ratio
CBZ Life	1,582	1,454	512	3,548	1701	27%	9%	29%	66%
Econet Life	3,641	2,572	0	6,213	1569	34%	0%	48%	82%
Evolution Health & Life	33	167	53	253	44	56%	18%	11%	85%
Fidelity Life Assurance	1,642	2,503	324	4,469	2247	37%	5%	24%	67%
First Mutual Life	6,846	6,718	847	14,411	5405	34%	4%	35%	73%
Getsure Life Assurance	221	683	139	1,043	782	60%	12%	19%	91%
Heritage Life	54	403	25	482	(60)	95%	6%	13%	114%
Nyaradzo Life Assurance	26,717	16,676	4158	47,551	20031	33%	8%	52%	93%
Old Mutual Life Assurance	53,346	8,552	968	62,866	23433	10%	1%	62%	73%
ZB Life Assurance	2,916	2,186	937	6,039	54	36%	15%	47%	98%
Zimnat Life Assurance	4,188	3,199	1109	8,496	3493	27%	9%	35%	71%
Totals	101,186	45,113	9,072	155,371	58,699	23%	5%	51%	79%

ANNEXURE 16: Cost Drivers for the half year ended 30 June 2018

Company	Total Net Claims	Management and Admin Expenses	Commissions	Total Costs	Underwriting Profit and Loss	Expense Ratio	Commission Ratio	claims ratio	Combined ratio
Baobab Re	239	439	635	1,313	188	29%	42%	16%	87%
FBC Re	128	45	78	251	76	16%	28%	46%	89%
FM Re	1,308	228	217	1,753	(707)	22%	21%	125%	167%
Grand Re	0	0	0	0	0	0%	0%	0%	0%
Zep Re	300	25	241	566	94	4%	34%	43%	80%
Totals	1,975	737	1,171	3,883	(349)	21%	33%	56%	110%